



May 6, 2025

Assembly Member Buffy Wicks, Chair
Assembly Appropriations Committee
Capitol Office, 1021 O Street, Suite 8140
Sacramento, CA 95814

Assembly Member Kate Sanchez, Vice Chair
Assembly Appropriations Committee
Capitol Office, 1021 O Street, Suite 4340
Sacramento, CA 95814

Assembly Member Christopher Ward
California State Assembly
Capitol Office, 1021 O Street, Suite 6350
Sacramento, CA 95814

RE: Ad Trade Letter in Opposition to California AB 1355

Dear Chair Wicks, Vice Chair Sanchez, and Assembly Member Ward:

On behalf of the advertising industry, we respectfully oppose AB 1355.¹ We and the companies we represent, many of whom do substantial business in California, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and industry policies. AB 1355 is inconsistent with requirements in the California Consumer Privacy Act (“CCPA”) as well as other state privacy laws. Furthermore, AB 1355 would unreasonably limit the collection, use, and transfer of “location information” in ways that would inhibit Californians from receiving beneficial and even critical messaging and services. The Assembly Appropriations Committee (“Committee”) should decline to advance the bill any further in the legislative process.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of responsible companies across the country that make up and support the digital economy. These companies range from small businesses to household brands, advertising agencies, publishers, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet and the digital economy, which accounted for 18 percent of total U.S. gross domestic product (“GDP”) in 2024.² By one estimate, over 1.8 million jobs in California are related to the ad-subsidized Internet.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on the non-exhaustive list of issues with the bill that we discuss in this letter.

¹ California AB 1355 (2025-2026 Reg. Sess.), located [here](#).

² John Deighton and Leora Kornfeld, *Measuring the Digital Economy*, INTERACTIVE ADVERTISING BUREAU, 8 (April, 2025), located at https://www.iab.com/wp-content/uploads/2025/04/Measuring-the-Digital-Economy_April_29.pdf.

³ *Id.* at 130-132.

I. AB 1355 is inconsistent with requirements in the CCPA and other state laws.

AB 1355 proposes to regulate “location information,” defined to include “information derived from a device or from interactions between devices, with or without the knowledge of the user and regardless of the technological method used, that pertains to or directly or indirectly reveals the present or past geographical location of an individual or device within the State of California with sufficient precision to identify street-level location information within a range of five miles or less,” including but not limited to IP addresses, automated license plate recognition information, GPS coordinates, cell-site location, information captured by traffic monitoring systems, and video or photographic images that are used as a probe images in a facial recognition technology system.⁴ The bill would subject this “location information” to limiting data minimization requirements, permitting processing of such information only to provide a good or service requested by a consumer.⁵

Most state privacy laws regulate the processing of “precise” or “specific” geolocation information, defined similarly across the states.⁶ AB 1355, however, proposes an entirely different definition for regulated “location information,” and that definition could capture almost all data collection in the ecosystem, beyond the types of data captured in other state laws. The CCPA itself also already regulates “precise geolocation information”—defined differently than AB 1355’s “location information”—and subjects the use and disclosure of precise geolocation information to opt-out requirements.⁷ If enacted, AB 1355 would stand in contradiction to the CCPA, creating a significantly confusing regulatory scheme for the overlapping location definitions and conflicting rights in both laws. AB 1355 would also require covered entities to maintain a “location privacy policy” in addition to the disclosures businesses already must maintain in their general privacy policies per the CCPA.⁸ The Committee should decline to advance AB 1355 because it would create an unclear approach to the collection and use of location information and precise geolocation information in California and add new notice requirements that would not have meaningful benefits for consumers.

II. AB 1355 would unreasonably limit the collection, use, and transfer of location information to California consumers’ and businesses’ detriment.

AB 1355 would prohibit the collection and use of “location information” unless doing so “is necessary to provide goods or services requested by” an individual.⁹ The bill would also ban the sale of location information, and it would prohibit derivation of inferences from such information unless “necessary to provide the goods or services requested by the individual.”¹⁰ These broad

⁴ AB 1355 at Section 2, § 1798.90.75(b)(8).

⁵ *Id.* at Section 2, § 1798.90.76(a).

⁶ *See, e.g.* Conn. Gen. Stat. § 42-515(27); Va. Code Ann. § 59.1-575.

⁷ Cal. Civ. Code §§ 1798.121, 140(w). The CCPA defines “precise geolocation information” as “any data that is derived from a device and that is used or intended to be used to locate a consumer within a geographic area that is equal to or less than the area of a circle with a radius of 1,850 feet, except as prescribed by regulations.” *Id.* at § 140(w).

⁸ AB 1355 at Section 2, § 1798.90.77; *see also* Cal. Civ. Code 1798.130(a)(5).

⁹ AB 1355 at Section 2, § 1798.90.76(a).

¹⁰ *Id.* at Section 2, § 1798.90.76(b).



prohibitions and limitations would unreasonably impede California consumers from receiving relevant, location-supported messaging if such messaging is not “necessary” to provide a good or service they already requested.

The collection and use of location information allows individuals to receive advertising and communications in the right time and at the right place. Location information is an integral component of advertising personalization and marketing that allows companies to reach consumers with relevant content and ads, enabling consumers to learn about goods and services that are near to them. This benefit is also especially meaningful for California’s small and medium-sized businesses, most of whom would not benefit from any exemption because they need their larger partners’ reach to attract and grow their own businesses. Without the ability to collect and use location data for advertising purposes, businesses will have a more difficult time, and face higher costs, reaching individuals with relevant marketing, and consumers will not be alerted to products and services they desire that are near to them.

In addition, AB 1355 would likely have unintended downstream effects on vital services. Location information powers important emergency notices, particularly AMBER alerts and severe weather notices, allowing these notices to be immediately displayed to users in the impacted area on any device they are using. If AB 1355 is enacted, Californians could lose access to emergency alerts for wildfires or other community emergencies. An exemption for these uses of location information would not solve this problem. Even if the Committee were to add an exemption to the bill for these emergency uses, the bill’s other strict limitations on location information collection and use would make this data lose much of its utility in the marketplace. As a result, this data would be less likely to be collected and used by entities overall, making it less procurable for use for emergency alert purposes. If AB 1355 is enacted, Californians would lose access to these important, real-time alerts, which rely on the disclosure of location information.

Location information also enables effective fraud prevention to protect consumers and businesses. Financial institutions, retailers, and others rely on anti-fraud services that include location information provided by third parties. The disclosure of location information allows anti-fraud and identity protection services to flag suspicious behavior and protect vulnerable communities. For example, companies can more easily detect credit card theft or fraud if they or their service providers have access to location information showing that a consumer is not in the location where a purchase is being made. The ability to use and disclose location information helps companies to detect and prevent fraudulent and illegal activity and reach out to consumers to confirm their purchases. As noted above, even if an exemption for fraud prevention is incorporated into AB 1355, the bill’s requirements would devalue location data in the marketplace. Entities would thus collect and use location information less, making this critical data set less available for this important anti-fraud and identity protection use. If passed, AB 1355 would impede the collection and use of location information for purposes that benefit Californians.

III. A Private Right of Action Is an Inappropriate Form of Enforcement for Privacy Legislation

AB 1355 would permit private litigants to bring lawsuits for the greater of actual damages or statutory damages of \$25,000.¹¹ We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the state alone, because such an enforcement structure would lead to stronger outcomes for California residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in AB 1355 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood California's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.¹²

Beyond the staggering cost to California businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the inclusion of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to update AB 1355 to remove the private right of action and to vest sole enforcement authority in the state.

¹¹ *Id.* at Section 2, § 1798.80.78(b).

¹² For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



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We ask you to refrain from advancing AB 1355 further in the legislative process, as its provisions would harm both consumers and businesses alike. Thank you for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Michael Hahn
EVP & General Counsel
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Members of the Assembly Appropriations Committee
AB 1355 Coauthors

Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP